

highly uncommon talent. Hence the vast majority of stock traders are inevitably doomed to failure. We do not expect this conclusion to have much effect on the public. (Note our basic distinction between purchasing stocks at objectively low levels and selling them at high levels—which we term investment—and the popular practice of buying only when the market is “expected” to advance and selling when it is “due” to decline—which we call speculation.)

c. Purchase of “growth stocks” at generous prices. In calling this “speculation,” we contravene most authoritative views. For reasons previously expressed, we consider this popular approach to be inherently dangerous and increasingly so as it becomes more popular. But the chances of individual success are much brighter here than in the other forms of speculation, and there is a better field for the exercise of foresight, judgment and moderation.

B. The Individual Investor of Large Means. Although he has obvious technical advantages over the small investor, he suffers from three special handicaps:

1. He cannot solve his straight investment problem simply by buying nothing but United States Savings Bonds, since the amount that any individual may purchase is limited. Hence he must, perforce, consider the broader field of fixed-value investment. We believe that strict application of quantitative tests, plus reasonably good judgment in the qualitative area, should afford a satisfactory end result.

2. However, the extraneous problem of possible inflation is more serious to him than to the small investor. Since 1932 there has been a strong common-sense argument for *some* common-stock holdings as a defensive measure. In addition, a substantial holding of common stocks corresponds with the traditional attitude and practice of the wealthy individual.

3. The size of his investment unit is more likely to induce the large investor to concentrate on the popular and active issues. To some extent, therefore, he is handicapped in the application of the undervalued-security technique. However, we imagine that a more serious obstacle thereto will be found in his preferences and prejudices.

C. Investment by Business Corporations. We believe that United States government bonds, carrying exemption from corporate income taxes, are almost the only logical medium for such business funds as may properly